

Table 39.1 Identification Guidelines

Characteristic	Discussion
Appearance	Price declines into a three-valley pattern with the center valley below the other two. It looks like a head-and-shoulders bust flipped upside-down. The three valleys and two minor rises should appear well defined. Price moves higher after the pattern ends.
Symmetry	The left and right shoulders should be opposite one another about the head, somewhat equidistant in both time and price. There are wide variations, but the pattern is noticeably symmetrical about the head.
Volume	Usually highest on the left shoulder or head and diminished on the right shoulder.
Neckline	A line that connects the rise between the two shoulders. A neckline pierce signals an upward breakout. For up-sloping necklines, use the right armpit as the breakout price.
Breakout direction	The breakout is upward, usually on high volume that powers price upward. A low volume breakout is <i>not</i> an indicator of an impending failure.
Confirmation	Price must close above a down-sloping neckline or above the price of the right armpit.